

MERIDIAN NATIONAL BANK

Consumer & Commercial Lending Policy

Document ID	MNB-LP-2026-v4.2	Effective	1 January 2026
Owner	Credit Risk Committee	Review cycle	Annual

Underwriting agents must cite the specific clause supporting each decision (for example, “declined under 4.3.b”). Any decision that cannot be traced to a clause in this document must be routed to manual review, never approved.

SECTION 1 — SCOPE AND DEFINITIONS

1.1 This policy governs Mortgage, Auto, Personal and SME lending originated through any channel.

1.2 Definitions.

Term	Definition
LTV	Loan-to-Value. Requested amount divided by appraised value, as a percentage.
DTI	Debt-to-Income. (Proposed payment + other monthly obligations) divided by monthly gross income.
PD	Probability of Default over a 12-month horizon.
Secured facility	A facility supported by perfected first-lien collateral.
Linked exposure	Aggregate committed exposure across applicants sharing an address, guarantor or co-applicant.

1.3 Where this policy and a product-specific term sheet conflict, **this policy prevails**.

SECTION 2 — IDENTITY, FRAUD AND FINANCIAL CRIME

2.1 Mandatory hard stops. The following terminate underwriting immediately. No compensating factor, however strong the credit profile, may override them.

- **2.1.a** Confirmed match against OFAC/SDN, UN, EU or HMT sanctions lists.
- **2.1.b** Failed identity verification (confirmed mismatch between the applicant and the document presented).
- **2.1.c** Synthetic-identity score of **85 or above**.
- **2.1.d** Confirmed document forgery.

2.2 Enhanced due diligence. The following route to manual review and do not, alone, justify a decline:

- **2.2.a** Politically Exposed Person match.
- **2.2.b** Application originating from an anonymized or high-risk IP, or via VPN, proxy or Tor.
- **2.2.c** Document metadata indicating post-issuance editing.
- **2.2.d** AML risk rating of High absent any 2.1 trigger.

2.3 Linkage and fraud-ring analysis.

- **2.3.a** Underwriting must evaluate the applicant's identity-graph linkage: shared address hashes, co-applicant identifiers and shared guarantors.
- **2.3.b Three or more applications sharing an address hash with no declared relationship** between the parties constitutes a suspected fraud ring. All applications in the cluster route to manual review with the cluster identified.
- **2.3.c Two applications** sharing an address hash with no declared relationship is a review trigger, not a decline.

- **2.3.d** A **declared** relationship (Spouse, Co-borrower, Guarantor) sharing an address is normal lending activity and **must not be treated as a fraud indicator**. It remains subject to the linked-exposure limits in 5.3.
- **2.3.e** Where any application in a linkage cluster has been halted under 2.1, the remaining applications in that cluster route to manual review regardless of individual scores.

2.4 Adverse-action wording for fraud declines. Notices arising from 2.1 must use only the generic identity-verification reason. The specific check that triggered the stop **must not be disclosed** to the applicant.

SECTION 3 — CREDIT STANDARDS

3.1 Minimum credit score.

Facility type	Minimum FICO
Secured (Mortgage, Auto)	620
Unsecured (Personal, SME)	640

3.2 Applications below the applicable minimum in 3.1 are declined for insufficient credit quality.

3.3 Credit quality bands.

Band	FICO range
Excellent	760 and above
Good	700 – 759
Fair	660 – 699
Subprime	620 – 659
Poor	Below 620

3.4 Derogatory records.

- **3.4.a** Bankruptcy discharged within the last 24 months: decline.
- **3.4.b** Bankruptcy discharged 24 to 84 months ago: manual review with documented explanation.
- **3.4.c** Three or more delinquencies in the trailing 24 months: manual review.
- **3.4.d** Revolving utilization above 80 percent: contributory adverse factor, not a standalone decline.

3.5 Thin files. Fewer than 24 months of credit history requires manual review irrespective of score.

SECTION 4 — CAPACITY AND COLLATERAL

4.1 Debt-to-income ceilings.

DTI	Classification	Treatment
36% or below	Strong	Proceed
37% – 43%	Acceptable	Proceed
44% – 49%	Marginal	Proceed with documented compensating factors
Above 49%	Exceeds limit	Decline

4.2 Income verification. Stated income is never sufficient. Income must be verified against payroll records, tax returns or bank statements. Unverified or pending verification routes to manual review; it is not grounds for decline.

4.3 Loan-to-value caps.

Product	Maximum LTV
Mortgage — primary residence	95%
Mortgage — second home or investment	80%
Auto — new vehicle	100%
Auto — used vehicle	90%
SME — commercial real estate	75%
SME — equipment	80%

- **4.3.a** LTV at or below 80 percent is adequate.
- **4.3.b** LTV above 100 percent is insufficient collateral and results in decline.
- **4.3.c** LTV between the product cap above and 100 percent routes to manual review.

4.4 Appraisal validity. An appraisal more than **120 days** old at the decision date is stale and must be refreshed. A stale appraisal routes to manual review; it is not grounds for decline.

4.5 Subordinate lien positions and collateral rated Poor for marketability route to manual review.

SECTION 5 — RISK APPETITE

5.1 Probability of default.

PD (12-month)	Treatment
Below 5.0%	Within appetite
5.0% – 8.0%	Elevated; manual review
Above 8.0%	Exceeds appetite; decline

5.2 Internal grade mapping.

Grade	PD range	Tier
AAA	Below 0.5%	Very Low
AA	0.5% – 0.99%	Low
A	1.0% – 1.99%	Low
BBB	2.0% – 3.49%	Moderate
BB	3.5% – 4.99%	Moderate
B	5.0% – 7.99%	Elevated
CCC	8.0% – 11.99%	High
CC	12% and above	Very High

5.3 Concentration limits.

- **5.3.a** Single-obligor committed exposure may not exceed **USD 2,000,000**.
- **5.3.b** Aggregate linked exposure (see 1.2) may not exceed **USD 3,000,000** without Credit Committee approval.
- **5.3.c** Where a single guarantor supports three or more active facilities, the application routes to manual review for concentration assessment.

SECTION 6 — FAIR LENDING AND NON-DISCRIMINATION

6.1 Credit decisions must rest solely on the criteria in this document. Race, colour, religion, national origin, sex, marital status, age, receipt of public assistance and exercise of rights under the Consumer Credit Protection Act **must play no part in any decision or in pricing**.

6.2 Geographic data may be used only for collateral valuation, flood determination and state usury ceilings. It **must not** influence credit quality assessment or pricing.

6.3 Pricing consistency. Two applicants presenting the same product, risk tier, LTV band and security status must receive **identical pricing**. All pricing derives from the published rate card; discretionary adjustment is not permitted at agent level.

6.4 Adverse action. Every decline must produce ECOA-compliant reason statements drawn from the approved reason-code set, issued within **30 days** of the application date.

6.5 Proxy variables, including but not limited to address hash, surname and channel, must not be used as substitutes for a prohibited basis under 6.1. Linkage analysis under 2.3 is permitted **solely** for fraud and exposure purposes and must not influence the credit assessment of an otherwise unlinked applicant.

SECTION 7 — APPROVAL BANDS AND AUTHORITY

7.1 Automated approval is permitted only where **all** of the following hold:

- No 2.1 hard stop and no 2.2 review trigger
- FICO at or above the 3.1 minimum, with no 3.4 derogatory record
- DTI at or below 43 percent (4.1) with verified income (4.2)
- LTV within the product cap (4.3) on a current appraisal (4.4)
- PD below 5.0 percent (5.1)
- Exposure within the 5.3 limits
- Requested amount at or below **USD 750,000**

7.2 Authority matrix.

Band	Amount	Authority
I	USD 250,000 or below	Automated
II	250,001 – 750,000	Automated with post-decision sampling
III	750,001 – 2,000,000	Senior underwriter
IV	Above 2,000,000	Credit Committee

7.3 Any application failing a single 7.1 criterion, but not meeting a decline trigger, is **manual review** — never automated approval.

7.4 Prohibited agent actions. Underwriting agents are **read-only**. Agents must not initiate disbursement, modify limits, write to any system of record, or retrieve bureau fields beyond those in Section 3. Exact bureau scores may be retrieved only for the credit assessment in Section 3 and must not be surfaced in customer-facing output; report the 3.3 band instead.

SECTION 8 — AUDIT AND EXPLAINABILITY

- 8.1** Every decision must retain: the inputs consulted at each stage, each stage's status and reasoning, the clause numbers applied, and the final rationale.
- 8.2** Records are retained for **25 months** from the decision date in accordance with Regulation B.
- 8.3** A decision that cannot be explained by reference to this document is not a valid decision and must be escalated.